

Original entry	Wrong entry	Correct entry
1) Error of omission Rent 500 Cash 500		Rent 500 Cash 500
2) Error of commission K.King 1000 Sale 1000	J.King 1000 Sale 1000	K.King 1000 J.King 1000
3) Error of Principle Machinery 500 Cash 500	Purchases 500 Cash 500	Machinery 500 Purchases 500
4) Compensating error Wages 200 Sale 200	Wages 300 Sale 300	Sale 100 Wages 100
5) Complete reversal of Entry Salary 400 Cash 400	Cash 400 Salary 400	Salary 800 Cash 800
6) Error of original entry Rent 500 Cash 500	Rent 450 Cash 450	Rent 50 Cash 50
7) Transposition error Purchases 102 Cash 102	Purchases 120 Cash 120	Cash 18 Purchases 18

Suspense account

1) Purchases under cast by 40.

Purchases 40
Suspense 40

2) Purchases over cast by 50.

Suspense 50
Purchases 50

3) Rent paid 500. Correctly record in cash book but not debited to rent account.

Rent 500
Suspense 500

Calculation of correct net profit

Dr = Less
Cr = Add

Calculation of correct Trial balance and Statement of financial position**Assets**

Dr = Add
Cr = Less

Liabilities

Dr = Less
Cr = Add

Debit note and Credit note**Business**

Receivable 5000
Sale 5000

Sales return 1000
Receivable 1000

Credit note issue
Debit note receive

↓
Sales returns

Customer

Purchases 5000
Payable 5000

Payable 1000
Purchases return 1000

Debit note issue
Credit note receive

↓
Purchases returns

Q: 1

- 1) The purchase of a machine on credit from L Pyle for \$4 390 had been completely omitted from our books.
- 2) A sale of goods \$678 to J Harris had been entered in J Hart's account.
- 3) The purchase of a van \$3 800 had been entered in error in the Motor Expenses account.
- 4) A receipt of cash from T Heath \$77 had been entered on the credit side of the cash book and the debit side of T Heath's account.
- 5) A sale of \$40 to K King was entered in the books as \$25.
- 6) A sale of \$221 to E Fitzwilliam had been entered in the books, both debit and credit, as \$212.
- 7) Commission received \$257 had been entered in error in the Sales account.
- 8) A purchase of goods \$189 had been entered in error on the debit side of the Drawings account.
- 9) Discounts Allowed \$366 had been entered in error on the debit side of the Discounts Received account.
- 10) Commissions received \$880 have been credited to Rent Received account.

REQUIRED

- (a) Show the journal entries necessary to correct the errors and Name the type of error made in 1 to 10 above.

Q: 2

- 1) Extra capital of \$10 000 paid into the bank had been credited to Sales account.
- 2) Rent paid by cash \$2 000 but not recorded in the books.
- 3) Goods taken for own use \$700 had been debited to General Expenses.
- 4) A purchase of goods \$44 from C Simons, was entered in error in C Simpson's account.
- 5) Private insurance \$89 had been debited to Insurance account.
- 6) A purchase of goods from C Kelly \$857 had been entered in the books as \$587.
- 7) Cash banked \$390 had been credited to the bank column and debited to the cash column in the cash book.
- 8) Cash drawings of \$400 had been credited to the bank column of the cash book.
- 9) Returns inwards \$168 from K King had been entered in error in J King Account.
- 10) A sale of a van for \$1 000 had been credited to Motor Expenses.

REQUIRED

- (a) Give the journal entries needed to record the correction of the errors. Narratives are not required. Mention name the type of error made in 1 to 10 above.

Q: 3

- 1) Purchases \$699 on credit from K Ward had been entered in H Wood's account.
- 2) Bank charges \$77 have been debited to rent account.
- 3) Completely omitted from the books is a payment of Sundry Expenses by cheque \$23.
- 4) A purchase of fixtures \$478 has been entered in Purchases account.
- 5) A credit purchase from P Maclaran costing \$56 was entered in the books as \$65.
- 6) Returns inwards \$833 has been entered on the debit side of the Returns Outwards account.
- 7) Goods taken for own use \$250 have been debited to Purchases account and credited to Drawings.
- 8) A loan from R Smiley \$5 000 has been entered on the credit side of the Capital account.
- 9) Rent received \$400 by cheque but entered in the books as \$600
- 10) Loan interest of \$500 has been debited to Premises account.

REQUIRED

- (a) Journal entries are required to correct the errors, but the narratives can be omitted. Write name the type of error made in 1 to 10 above.
- (b) Name and explain six errors which do not affect on trial balance. (Limitations of trial balance)

Q: 4

Jason Moore had the following balances in his books on 31 October 2008:

	\$
Provision for doubtful debts	150
Capital	16 550
Drawings	8 000
Plant and equipment	18 000
Provision for depreciation of plant and equipment	3 000
Inventory	4 000
Receivables	3 000
Payables	2 000
Cash	1 500
Sales	40 000
Purchases	21 000
Sundry expenses	6 200

REQUIRED

- (a) Extract the trial balance for Jason Moore at 31 October 2008.
- (b) State two uses of a trial balance.
- (c) State and explain three errors which do not affect a trial balance.

On investigation Jason identified the following errors in his books.

1. \$3000 debited to plant and equipment should have been recorded as purchases.
2. A payment to Payables of \$1000 in cash had not been recorded.

REQUIRED

- (d) Make journal entries to record the correction of the errors. Narratives are not required.

Q: 5

A Trial Balance was taken out for V. Lee on 31 August 2003. Unfortunately, the Trial Balance failed to agree and a suspense account was opened for the difference.

Investigations revealed the following errors:

- 1) The Purchases Day Book was under-added by \$400.
- 2) Rent account had been overcast by \$70
- 3) A sale of goods worth \$910 to J. Lee had been correctly entered in the Sales Journal but had not been posted to J. Lee's account.
- 4) Goods costing \$700 bought from Simpkins were credited to the account of Simpson.
- 5) An item of \$240 was debited twice in the Sundry Expenses Account.
- 6) A purchase from Suimat was correctly entered in the Purchases Day Book as \$430 but was wrongly entered in Suimat's account as \$340.
- 7) The Receivables total of \$12 400 was wrongly listed as \$12 300.
- 8) Goods costing \$280 taken for own use by Lee were debited to his Drawings Account but no credit entry was made in any other account.
- 9) A banker's standing order for \$180 for payment of Lee's insurance was entered on the wrong side of the Bank Account.
- 10) A credit note for \$140 received from F. Kerry had been correctly entered in the appropriate journal but had been posted to Kerry's account as \$410.
- 11) Discounts allowed \$190 had been wrongly credited to the Discounts Received account. No entry had been made in the Discounts Allowed account.

REQUIRED

- (a) Prepare Journal entries, to correct the above errors:
- (b) Draw up the Suspense account showing all the necessary corrections from (a) and the opening Trial Balance difference.

Q: 6

C. Victor prepared the following Trail Balance on 30 June 2004.

	Dr.	Cr.
	\$	\$
Capital 1 July 2003		20 000
Drawings	9 000	
Fixtures and Fittings	5 600	
Receivables	9 500	
Payables		4 700
Inventory 1 July 2003	7 900	
Cash at Bank	8 640	
Sales		96 700
Purchases	75 500	
Sundry expenses	<u>5 760</u>	
	<u>121 900</u>	<u>121 400</u>

As the Trail Balance totals did not agree, a Suspense Account was opened for the amount of the difference.

Subsequently the following errors were discovered and when the necessary amendments had been made in the accounts, the Suspense Account balance was eliminated.

- i) The purchase of additional fixtures and fittings \$400 had been posted from the Cash book to the Purchases Account.
- ii) The Sales Day Book had been overcast by \$200
- iii) A sale to B. Lee had been correctly entered in the Sales Day Book as \$227 but wrongly posted to B. Lee's account as \$272.
- iv) The purchases of goods from M. Fish \$250 had been posted to the wrong side of Fish account.
- v) An item of \$146 had been debited twice in the Sundry Expenses Account.
- vi) The Payables total of \$4 709 had been wrongly entered in the Trail Balance as \$4700.

REQUIRED

- (a) Draw up the Suspense Account showing all the entries.
- (b) The Trail Balance as it would have appeared after the correction of all errors.

Q: 7

Jayani prepared a trial balance at 30 September 2010, which balanced.

A draft income statement was then prepared and a gross profit of \$60 000 and a profit for the year (net profit) of \$15 000 was calculated.

Jayani then discovered the following errors:

1. A sale of office equipment at net book value, \$3 000, had been recorded in the sales account.
2. Purchases of goods, \$650, on credit from Alana had been credited to the purchases account and debited to Alana's account.
3. An invoice from JGL Insurance, \$425, for buildings insurance, had not been recorded in the books.
4. Goods, \$2000, purchased on credit from A Morston had not been entered in the accounting records.
5. Goods, \$650, sold on credit to T Cley had been correctly entered in the sales account but had been entered into the account of C Tilley.
6. A motor vehicle expense, \$500, for the year had been posted to the motor vehicles account.
7. A discount received from C. Lee of \$190 had been entered in the discount allowed column in the cash book and credited to the account of C. Lee.

REQUIRED

- (a) Prepare journal entries to correct the errors in 1 to 7 above. (Narratives are not required.)
- (b) Name the type of error made in 1 to 7 above.
- (c) Calculate the revised gross profit and profit for the year (net profit) for Jayani, following the correction of the errors 1 to 7 above.

Where the error would have no effect on the gross profit or profit for the year (net profit) state 'no effect'.

	Gross profit	Profit for the year (Net profit)
	\$	\$
Draft profit	60 000	15 000
Error 1		
Error 2		
Error 3		
Error 4		
Error 5		
Error 6		
Error 7		
Revised profit		

Q: 8

Hannah prepared a trial balance but its totals did not agree. A suspense account was opened. She later discovered the following errors:

- 1 Rent receivable, \$4900, had been debited to the rent payable account.
- 2 General expenses paid, \$1200, had been correctly entered in the cash book, but had been recorded in the general expenses account as \$2100.
- 3 No debit entry had been made for purchases on credit from Ploy, \$3400.

REQUIRED:

- (a) Prepare the entries in the general journal to correct the errors 1 to 3. Narratives are **not** required.
- (b) Prepare the suspense account showing the original difference in the trial balance.

Hannah had prepared draft financial statements **before** correcting the errors. Her draft profit was \$15 600.

REQUIRED

- (c) Complete the following table by calculating the effect of **correcting each** error on the draft profit for the year. Calculate the revised profit for the year.

			\$
Draft profit for the year			15 600
	Increase	Decrease	
	\$	\$	
1 Rent receivable, \$4900, had been debited to the Rent payable account.			
2 General expenses paid, \$1200, had been correctly entered in the cash book, but had been recorded in the general expenses account as \$2100.			
3 No debit entry had been made for purchases on credit from Ploy, \$3400.			
Revised profit for the year			

- (d) State the difference between the following types of errors which would **not** affect the balancing of the trial balance.
 - (i) Commission and principle
 - (ii) Compensation and reversal

Q: 9

Nadia is a trader. Her financial year ends on 31 March. She extracted a trial balance at 31 March 2020. The debit and credit totals did not agree. The difference was entered into a suspense account.

After Nadia prepared draft financial statements, she discovered the following errors.

- 1 The purchases account was overcast by \$110.
- 2 \$13 for discount allowed in February 2020 had been credited to the discount allowed account as \$15.
- 3 A payment for insurance, \$220, was correctly recorded in the cash book, but was recorded as \$202 in the insurance account.
- 4 Commission received, \$65, had been debited to the account for commission payable. The entry to the cash book had been correctly made.
- 5 Cash drawings, \$85, were correctly entered in the cash book but were credited to the drawings account.
- 6 The cost of a vehicle repair, \$190, had been debited to the motor vehicles account.
- 7 A payment of \$100 to Robert had been posted to the account of Roberta.

REQUIRED:

- (a) Prepare the suspense account. Include the original difference on the trial balance as a balancing figure.
- (b) Identify the type of error made in
 - (i) Error 6
 - (ii) Error 7
- (c) Complete the following statement to show the effect on the profit \$6720 for the year of **correcting** errors 1–7. If there is no effect on profit write 'nil' in the 'no effect' column. Calculate the corrected profit for the year. Ignore depreciation of non-current assets.

At 31 March 2020 Nadia's trade receivables owed \$14 500. After the preparation of the draft financial statements for the year ended 31 March 2020, Nadia discovered the following.

- 1 \$300 owed by DD Supplies should have been written off as irrecoverable.
- 2 A provision of doubtful debts of 2% of trade receivables should have been created.

REQUIRED

- (d) Prepare journal entries to record 1 and 2 above. Narratives are **not** required.